

Eternal Limited

Equity Research Report

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ACCUMULATE

Blinkit-led earnings optionality underpins upside, though the stock remains highly sensitive to execution and premium multiple sustainability.

Valuation as on 04th June, 2026

TP Range	Wt. Avg. TP	CMP
₹270 - ₹320	₹295	₹254
Implied Upside / (Downside)	Investment horizon	Risk level
+16.0%	24 Months	High

Company Snapshot							
Market Cap.	52Wk. High/Low	Shares Outstanding	P/E Ratio	Current EV/EBITDA	Dividend Yield	ROCE/ROE	NSE/BSE
₹2,45,357 Cr	₹368 / ₹213	919 Cr	671.9x	95.7x	0.0%	2.97% / 1.19%	ETERNAL/543320

Executive Summary

Investment View

Eternal Ltd is an internet platform in transition, moving from a single-category delivery business into a broader consumer ecosystem spanning food delivery, quick commerce, going-out, and restaurant supply. I value the company using a blended framework combining a segment-level DCF and a forward multiples-based sum-of-the-parts approach. This yields a target price of **₹295 per share**, implying **16.0% upside** to the current market price of ₹254, and underpins an **Accumulate** recommendation.

My investment case is centered on Blinkit, which now represents the majority of Eternal's underlying value and remains the key driver of medium-term upside. I view Zomato's food delivery business as the stabilising core of the franchise, offering stronger earnings visibility and cash generation than is currently reflected in broader market discussion. At the same time, District and Hyperpure provide additional optionality that could become more meaningful as monetisation and operating leverage improve over time.

Key Positives

- Blinkit is the dominant valuation driver and offers meaningful medium-term upside if store productivity, throughput, and margin delivery remain on track.
- Zomato's food delivery business provides a stronger earnings and cash flow base than is often reflected in the broader market narrative.
- District and Hyperpure provide additional optionality and broaden Eternal's ecosystem across consumer and merchant journeys.
- A blended valuation framework implies 16.0% upside from the current market price, supporting an Accumulate stance.

Key Risks

- Blinkit execution risk remains the single largest valuation swing factor, given its dominant contribution to group intrinsic value.
- Premium multiples may compress if market sentiment weakens or peer benchmarks re-rate lower.
- Food delivery margins may plateau if competitive intensity increases or monetisation slows.

- District and Hyperpure may take longer than expected to translate strategic promise into meaningful financial contribution.

Valuation Summary

My valuation is based on a blended framework combining a segment-level sum-of-the-parts DCF and a forward multiples-based valuation approach. The DCF implies a value of **₹218 per share**, while the multiples framework suggests **₹346 per share**. Applying a **40% weight to DCF** and a **60% weight to multiples** yields a blended target price of **₹295 per share**, implying **16.0% upside** to the current market price of ₹254. The valuation range of **₹270–₹320 per share** reflects the sensitivity of outcomes to growth execution, especially within Blinkit.

Recommendation Rationale

I recommend **Accumulate** because Eternal combines a stable cash-generative food delivery business with a higher-growth quick-commerce platform that still offers meaningful medium-term upside if execution remains strong. That said, I stop short of a more aggressive recommendation because a large part of the current and implied value is still contingent on Blinkit sustaining premium growth and valuation multiples. In other words, the upside is attractive, but it is not without execution and sentiment risk.

Investment Thesis

Eternal's investment case is increasingly defined by Blinkit. The quick-commerce business now contributes the majority of group intrinsic value in my framework, which means the stock should no longer be viewed simply as a food delivery-led platform with optional upside. Instead, Eternal is effectively a Blinkit-led valuation story supported by a more stable cash-generative food delivery core. This matters because it changes the way the stock should be underwritten: future share price performance will depend far more on Blinkit's execution trajectory than on incremental improvements in Zomato's already-mature delivery business.

The key source of upside is Blinkit's ability to sustain rapid throughput growth while simultaneously improving unit economics. In practice, that means continued progress on store productivity, order density, basket expansion, contribution margins, and operating leverage as the network scales. The challenge is that these assumptions are also where the greatest valuation risk sits. If Blinkit falls short on store

maturity, per-store NOV, or long-run margin delivery, the implied equity value of Eternal can compress sharply because such a large portion of the current and target valuation is concentrated in one business whose economics are still evolving.

This is why the bear case matters so much in Eternal. In my scenario analysis, the bear case DCF value falls to roughly **₹63 per share**, versus **₹218** in the base case, primarily because lower Blinkit NOV assumptions, weaker terminal margins, and a higher discount rate materially reduce the value of the quick-commerce business. While that downside scenario is not my central view, it highlights how execution shortfalls in Blinkit can translate directly into substantial share price risk. In other words, the market's willingness to value Eternal at a premium is inseparable from confidence that Blinkit will deliver on long-duration growth and profitability assumptions.

Against this, Zomato's food delivery business provides an important balancing factor in the investment case. It offers a more stable earnings and cash flow base, supports strategic credibility, and reduces the probability that Eternal is viewed purely as a speculative quick-commerce vehicle. That combination of a relatively resilient core business and a high-upside but execution-sensitive growth engine is what supports my **Accumulate** recommendation. The stock still offers attractive upside on a blended basis, but investors must recognise that the pathway to that upside is heavily dependent on Blinkit delivering — and that is the central risk-reward trade-off in the thesis.

Company Overview

Eternal is best understood as a multi-vertical consumer internet platform built around high-frequency urban demand in India. Its four principal businesses — Zomato in food delivery, Blinkit in quick commerce, District in going-out and experiences, and Hyperpure in restaurant supply — give the company exposure to multiple consumption and merchant layers within the same ecosystem. This matters because the investment case is no longer about any single business in isolation; it is about how the platform compounds engagement, monetisation, and strategic relevance across categories.

Within that structure, Blinkit now defines the equity story. While Zomato's food delivery business remains the group's most established earnings engine, Blinkit has become the dominant driver of valuation because it sits at the centre of the market's long-duration growth expectations. As a result, Eternal should increasingly be framed not as a mature food delivery company with optional adjacencies, but as a platform where a stable core business supports an execution-sensitive quick-commerce growth asset.

The strategic logic of the company lies in the interaction among its businesses. Food delivery provides daily consumer relevance and a dense merchant network; Blinkit increases order frequency and fulfilment intensity; District expands use cases into experiences and ticketed engagement; and Hyperpure deepens merchant dependence on the platform. These interlocking businesses create a broader ecosystem narrative that is more valuable than a collection of standalone assets, even though not every segment contributes equally to near-term intrinsic value.

From a valuation standpoint, this business mix requires a sum-of-the-parts lens. Zomato should be assessed on earnings durability and cash generation, Blinkit on scale potential and future margin structure, and the smaller businesses on strategic optionality rather than near-term contribution. That is the core reason Eternal can sustain a premium narrative in the market — but it is also why the stock is highly sensitive to how investors underwrite Blinkit’s execution path.

Industry Overview

The industry backdrop for Eternal is shaped by the formalisation of urban consumption in India and rising willingness to pay for convenience, speed, and digital access. Food delivery has moved into a more mature phase where scale and monetisation are translating into profitability, while quick commerce remains in its early stage of value-creation cycle and is still being valued on future potential rather than fully proven economics. This split is central to Eternal because the company operates across both a stabilising category and a still-expanding growth category.

Food delivery in India is now defined by more rational competition, stronger unit economics, and increasing monetisation through take rates and advertising. For Eternal, Zomato’s position in this category provides an important earnings and cash flow anchor, which helps support valuation and offsets some of the execution risk in the rest of the portfolio. That stable core is one of the reasons the market is willing to underwrite a broader platform story.

Quick commerce remains the more strategically important and more volatile part of the industry. The category offers a large addressable market and meaningful long-term upside, but its valuation is highly sensitive to store productivity, customer density, and margin progression. This is why Eternal trades on a blended narrative of earnings support and optionality: the market is willing to assign premium multiples to Blinkit-led growth, but those multiples remain vulnerable if execution or competitive discipline weakens.

Historical Financial Performance

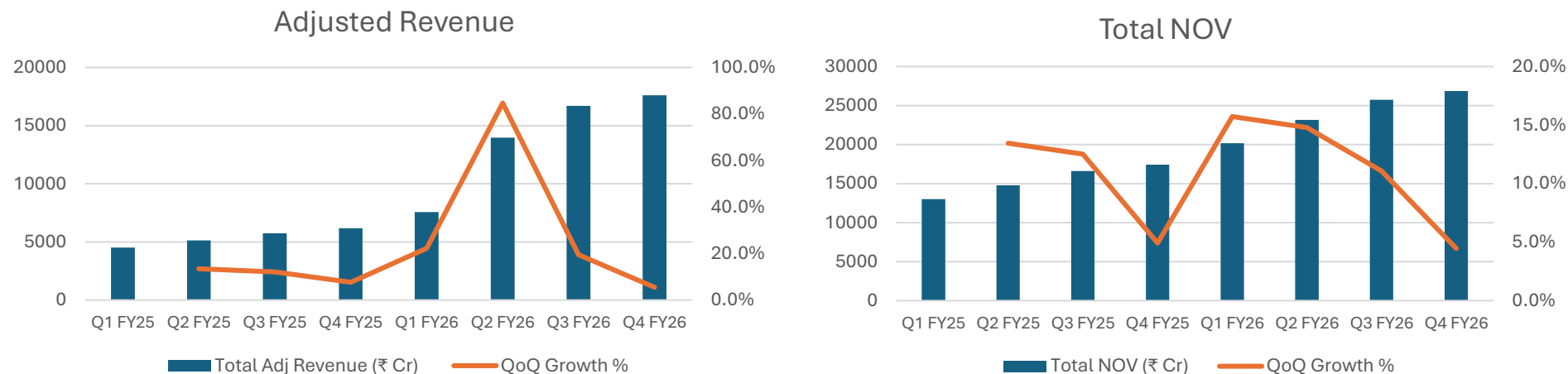
Metric	FY22	FY23	FY24	FY25	FY26
Revenue (₹ Cr)	4,192	7,079	12,114	20,243	54,364
Revenue Growth	110.0%	69.0%	71.0%	67.0%	169.0%
Operating Profit (₹ Cr)	(1,851)	(1,211)	43	648	1,208
Net Profit (₹ Cr)	(1,222)	(971)	351	527	366

Eternal's historical financial performance reflects an exceptional increase in scale over the past five years, with reported revenue rising from ₹4,192 Cr in FY22 to ₹54,364 Cr in FY26. This headline growth captures not only category expansion in food delivery and quick commerce, but also the increasing importance of adjacencies within the group structure. Operating profit has improved materially over the same period, moving from a loss of ₹1,851 Cr in FY22 to a positive ₹1,208 Cr in FY26, which indicates that the group has moved beyond pure scale-building and is now demonstrating operating leverage in parts of the business. On the surface, this suggests a platform that is maturing financially even as it continues to invest in new growth vectors.

That said, the consolidated financials need to be interpreted with care. Eternal is no longer a single-business company, and the reported numbers aggregate segments with very different margin structures, investment needs, and valuation profiles. Zomato's food delivery business contributes far more to earnings quality than Blinkit or District at this stage, while Blinkit contributes disproportionately to group valuation because of its long-duration growth profile. As a result, historical reported performance is useful for understanding scale and operating progress, but it is not sufficient on its own to capture the economics of the stock. This is one reason a sum-of-the-parts framework is more informative than a single consolidated multiple when assessing Eternal's financial trajectory and valuation.

Quarterly trends also reinforce the picture of strong operating momentum through FY26, although the pace of growth became more uneven as the year progressed. Total adjusted revenue increased from ₹4,520 Cr in Q1 FY25 to ₹17,612 Cr in Q4 FY26, with the sharpest step-up occurring in Q2 FY26, when quarterly adjusted revenue rose 84.7% sequentially. Total B2C NOV also remained strong, increasing

from ₹13,020 Cr in Q1 FY25 to ₹26,879 Cr in Q4 FY26, with QoQ growth peaking in the mid-teens before moderating to 4.5% by Q4 FY26. Taken together, these trends suggest that the business is still scaling at a high level, but they also indicate that investors should increasingly focus not just on topline expansion, but on the quality and sustainability of growth as the base becomes larger.



Valuation

Valuation Approach

Eternal is best valued using a blended framework rather than a single consolidated multiple. The company combines businesses with very different maturity profiles, economics, and valuation anchors: Zomato is increasingly a profitability and cash flow business, Blinkit remains a scale-driven quick-commerce asset, while District and Hyperpure contribute optionality with lower near-term earnings relevance. I therefore use a sum-of-the-parts approach combining a segment-level DCF and a forward multiples-based framework, with the final target price derived by blending the two.

Key Assumption Rationale

Assumption	Value	Rationale
Zomato WACC	15.6%	Lower risk profile reflects a more mature, cash-generative food delivery business with better established unit economics.
Blinkit WACC	17.5%	Higher discount rate reflects the execution-sensitive nature of quick commerce and the long-duration assumptions embedded in the valuation.
District WACC	15.7%	Captures early-stage marketplace risk and a business model that remains sub-scale but strategically relevant.
Hyperpure WACC	12.1%	Lower discount rate reflects the more stable, distribution-like profile of the B2B supply-chain business.
New Bets / Bistro WACC	20.8%	Highest discount rate in the model given venture-stage uncertainty, limited visibility, and elevated execution risk.
Treasury Investments Treated as Surplus Cash	75%	Assumes that three-quarters of treasury investments are effectively surplus cash in the EV-to-equity bridge, reflecting liquid non-core financial assets rather than operating capital.
Terminal Growth	8.0%	Anchored to India's nominal GDP potential and long-run growth in urban convenience categories.
Forecast Period	10 years	Appropriate for a platform company where segment maturation occurs over a long time horizon.
DCF / Multiples Weight	40% / 60%	Balances intrinsic value discipline with the premium the market attaches to fast-scaling internet assets.

DCF Valuation

My DCF is based on a segment-level sum-of-the-parts methodology, valuing Zomato, Blinkit, District, Hyperpure, and New Bets separately before deducting corporate overhead and adjusting for net cash. On this basis, the DCF implies an equity value of approximately **₹210,761 Cr**, or **₹218 per share**. The key takeaway is that the DCF remains below the current market price, which suggests that the market continues to capitalise meaningful execution upside — particularly in Blinkit — beyond what is captured in the base-case intrinsic value framework.

Multiples Valuation

The multiples valuation applies 2-year forward segment-specific peer benchmarks to Eternal's underlying businesses. This yields an implied equity value of roughly **₹334,018 Cr**, or **₹346 per share**. Relative to DCF, this method better captures the premium growth narrative embedded in Blinkit and the market's willingness to pay for category leadership in quick commerce. However, it is also more exposed to changes in sentiment and peer re-rating risk.

Segment	Metric Type	FY28E Metric (INR Cr)	Applied Multiple	Implied EV (INR Cr)
Zomato (Food Delivery)	EV/EBITDA	2,667	25.0x	66,687
Blinkit (Quick Commerce)	EV/NOV	1,30,624	2.0x	2,61,247
District (Going Out)	EV/Revenue	2,257	2.0x	4,514
Hyperpure (B2B)	EV/Revenue	5,435	1.0x	5,435
New Bets / Bistro	Zero (option value)	0	0.0x	0
(-) Corporate overhead drag				(7,329)
Net Cash/(Net Debt)				3,464

TOTAL ENTERPRISE VALUE (Multiples)

3,34,018

Scenario Analysis

Scenario	DCF Per Share (₹)	Probability	Comment
Bear Case	63	30%	Reflects weaker Blinkit throughput, lower terminal margins, and a higher discount rate.
Base Case	218	50%	Captures current assumptions on Blinkit scale-up, food delivery economics, and ecosystem monetisation.
Bull Case	280	20%	Assumes stronger Blinkit execution, tighter discount rates, and improved terminal economics.
Probability-Weighted	184	100%	Highlights the valuation asymmetry in a business where one segment drives most of the upside and risk.

The range of outcomes reinforces the central point of the valuation: Eternal's upside is meaningful, but it is also highly sensitive to Blinkit's execution path. While the blended target price supports an Accumulate recommendation, the valuation framework makes clear that premium multiple support cannot be taken for granted if quick-commerce assumptions weaken.

Conclusion / Final Recommendation

Eternal offers an attractive but execution-sensitive investment profile. The stock combines a stable food delivery earnings base with significant Blinkit-led growth optionality, which in my view supports a premium valuation framework but also creates meaningful

sensitivity to execution and market sentiment. My blended valuation implies a target price of **₹295 per share**, with a valuation range of **₹270–₹320**, versus the current market price of ₹254. I therefore maintain an **Accumulate** recommendation, reflecting a favourable medium-term risk-reward skew for investors willing to underwrite the execution path in quick commerce while recognising that Blinkit remains the central source of both upside and valuation risk.

Disclaimer

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